

Affiliate AE

Merchant Payment Options: Direct UPI vs Razorpay

Client decision guide

This document compares two ways a customer can pay after a merchant scans the customer QR code and applies reward-point redemption. Both options can open Google Pay, PhonePe, Paytm, BHIM, and other UPI apps. The main difference is whether payment is automatically verified.

Option	Flow	Verification	Best for
Direct UPI	AE opens a UPI link with merchant UPI ID and amount.	Manual confirmation.	Prototype or low-volume testing.
Razorpay	AE opens Razorpay Checkout with UPI methods.	Automatic webhook/signature verification.	Production and client launch.

Option A - Direct UPI without Razorpay

The merchant saves a UPI ID such as **merchant@upi**. After checkout, AE creates a UPI deep link containing the final amount, merchant name, INR currency, and a unique AE order reference.

Merchant scans customer QR and enters purchase amount



Points redemption is applied - example: INR 1,000 purchase - INR 30 discount = INR 970 payable



Customer receives a push notification: "Pay INR 970 to Merchant Name"



Customer taps the notification and selects a UPI app



Customer returns to AE; payment remains pending or is manually confirmed by the merchant



Advantages

- No payment-gateway setup or gateway processing charge.
- Fast to prototype and easy to explain.
- Customer can use a preferred UPI app.
- Merchant only needs a valid UPI ID.

Limitations

- AE cannot reliably prove money was received from the UPI return result alone.
- A customer could claim payment without completing it.
- Merchant must confirm payment before points are finalized.
- Refunds, reconciliation, reporting, and disputes are manual.

Option B - Razorpay with verified UPI payment

Razorpay handles checkout and sends a signed response/webhook to AE. AE finalizes the purchase and rewards only after payment is verified.



Advantages

- Automatic payment verification and safer reward issuance.
- Better reconciliation, refunds, reporting, and failure handling.
- Duplicate callbacks can be rejected safely.
- Suitable for production and client launch.
- Customer still gets familiar UPI options.

Costs and responsibilities

- Razorpay account, KYC, business verification, and live-mode activation are required.
- Processing/platform charges may apply; exact rates depend on the account and current provider terms.
- AE must configure API keys, webhook URL, allowed events, and production secrets.

Shared AE checkout calculation

Both options use the same business calculation:

Step	Example
Purchase amount	INR 1,000
Points redeemed	100 points
Discount value	INR 30
Final payable amount	INR 970
Points earned	Merchant/admin reward rule, maximum 100 points

Recommendation

Use Razorpay for production. Direct UPI is useful for a prototype or internal pilot, but it should not finalize points automatically because AE cannot independently verify that the customer paid. Razorpay adds setup and transaction costs, but provides the verification and operational safety needed for a real client deployment.

Required information

- Merchant UPI ID or Razorpay-enabled merchant account
- Merchant display name
- Payment enabled/disabled status
- Test/live mode
- Customer notification permission
- Razorpay API keys and webhook configuration for production